

RSM219 – CLASS 2

Additional Notes for Lecture

Gross Margin

Ratio that determines the % of every dollar of revenue retained by the company after deducting the direct costs of producing / delivering the product / service.

$$\frac{(\text{Revenue} - \text{COGS})}{\text{Revenues}}$$

Apple Gross Margin – Products

FY 2025 : $(\$307,003 - 194,116) / 307,003 = 36.77\%$

FY 2024 : $(\$294,866 - 185,233) / 294,866 = 37.18\%$

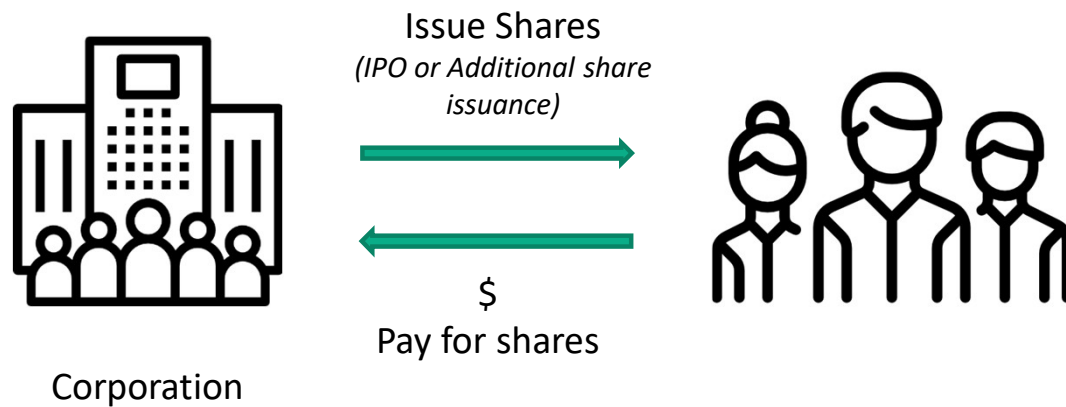
Apple Gross Margin – Services

FY 2025 : $(\$109,158 - 26,844) / 109,158 = 75.41\%$

FY 2024 : $(\$96,169 - 25,119) / 96,169 = 73.88\%$

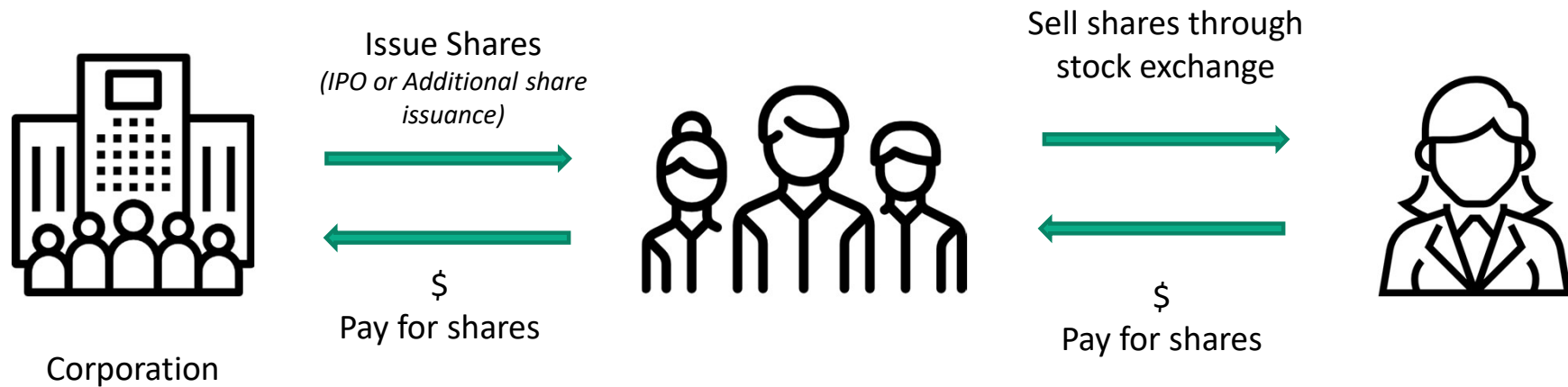
Contributed Capital

How the sale of common shares affect Financial Statements



Contributed Capital

How the sale of common shares affect Financial Statements



Contributed Capital

How the sale of common shares affect Financial Statements



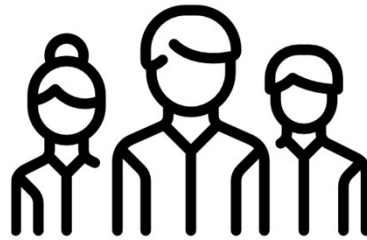
Corporation

Issue Shares
(IPO or Additional share
issuance)




\$
Pay for shares

RECORDED IN FS



Sell shares through
stock exchange



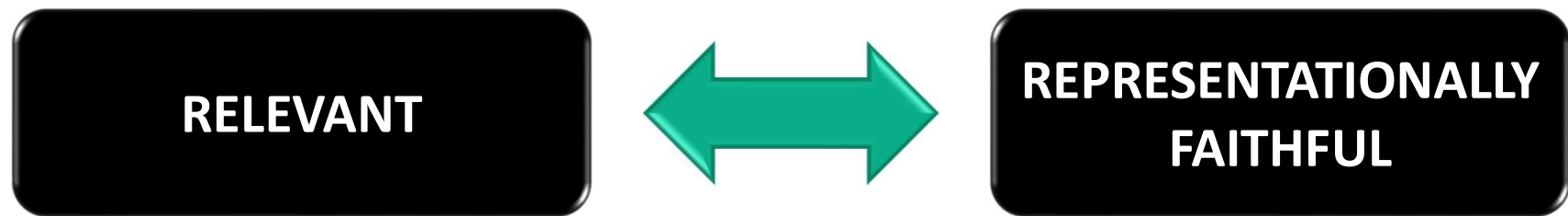

\$
Pay for shares

NOT *RECORDED IN FS*



Fundamental Qualitative Characteristics

Financial Information must be:



What should we be measuring?

Shareholders vs. Stakeholders



[Home](#) [News](#) [Sport](#) [Business](#) [Innovation](#) [Culture](#) [Arts](#) [Travel](#) [Earth](#) [Video](#) [Live](#)

Meta and Amazon scale back diversity initiatives

3 days ago

Share Save

Natalie Sherman
BBC News



[Link to article](#)

- Cutting DEI program for hiring, training and picking suppliers
 - Cutting dedicated team focused on DEI
 - Will end a program dedicated to fact-checking to “promote free speech”
-

CSR - Reporting

Corporate Social Responsibilities

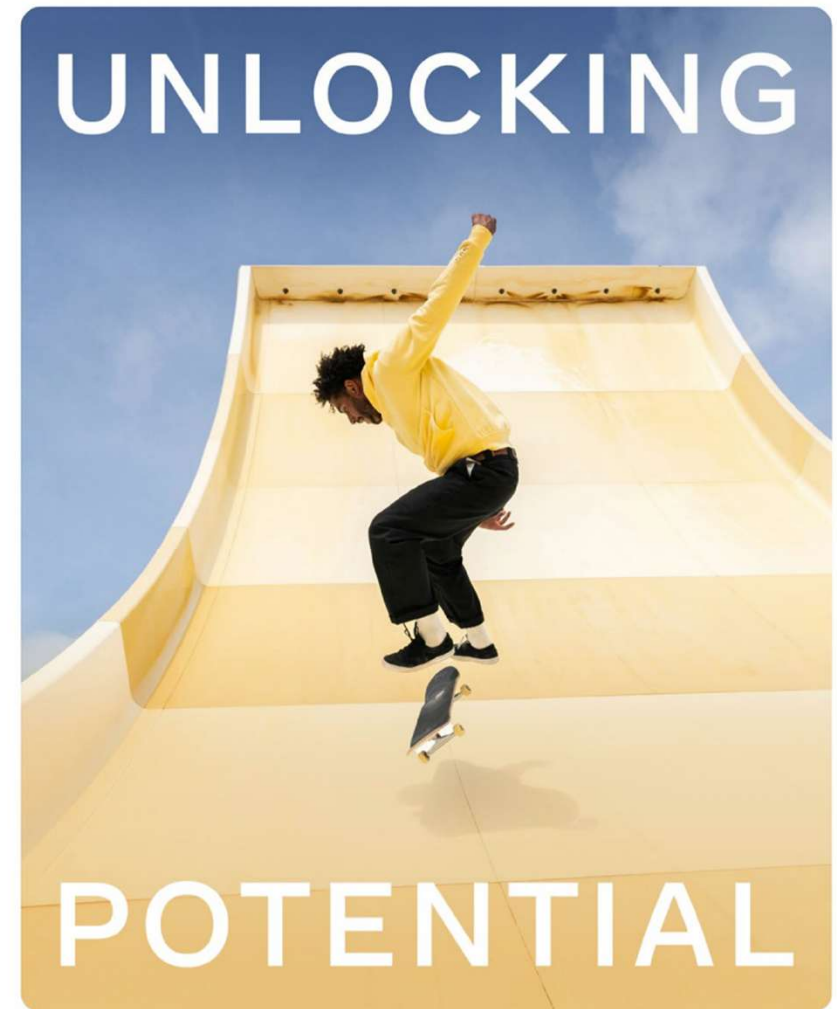
[Link to Meta CSR report](#)

- Reports on a companies' initiatives and progress towards being socially accountable.
- Mostly includes non-financial information around environmental, ethical, philanthropic and economic responsibilities.
- CSR Reports are currently not audited.

CSR Reports are outside the scope of this course

Special Topic Course – RSM314 : ESG & Sustainability

**Rotman
Commerce**



 Meta

2024 RESPONSIBLE BUSINESS PRACTICES REPORT

What's an audit and why should I care?



UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

(Mark One)
☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended September 28, 2024

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the transition period from _____ to _____
Commission File Number: 001-36743


Apple Inc.
(Exact name of Registrant as specified in its charter)

California
(State or other jurisdiction of incorporation or organization)
One Apple Park Way
Cupertino, California
(Address of principal executive offices)

94304
(P.R.S. Employer identification No.)
95014
(Zip Code)

(508) 996-1010
(Registrant's telephone number, including area code)

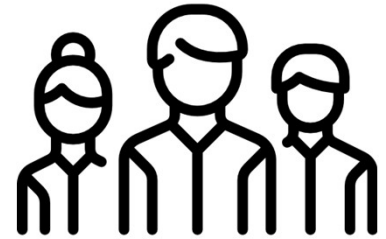
Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbols	Name of each exchange on which registered
Common Stock, \$0.0001 per value per share	AAPL	The Nasdaq Stock Market LLC
0.000% Notes due 2025	---	The Nasdaq Stock Market LLC
0.000% Notes due 2026	---	The Nasdaq Stock Market LLC
1.000% Notes due 2026	---	The Nasdaq Stock Market LLC
2.000% Notes due 2027	---	The Nasdaq Stock Market LLC
1.000% Notes due 2028	---	The Nasdaq Stock Market LLC
3.000% Notes due 2029	---	The Nasdaq Stock Market LLC
0.000% Notes due 2031	---	The Nasdaq Stock Market LLC
3.000% Notes due 2042	---	The Nasdaq Stock Market LLC

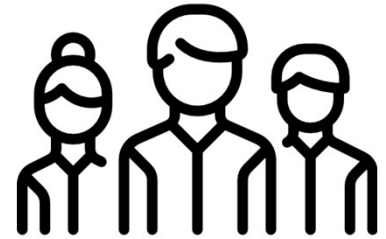
Securities registered pursuant to Section 12(g) of the Act: None

Indicate by check mark if the Registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act:
Yes ☒ No ☐

Indicate by check mark if the Registrant is not registered to file reports pursuant to Section 13 or Section 15(d) of the Act:
Yes ☐ No ☒



What's an audit and why should I care?



UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

(Mark One)

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended September 28, 2024

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the transition period from _____ to _____
Commission File Number 001-36743


Apple Inc.
(Exact name of Registrant as specified in its charter)

California
(State or other jurisdiction of incorporation or organization)

One Apple Park Way
Cupertino, California
(Address of principal executive offices)

94304-1010
(Registrant's telephone number, including area code)

94304-1010
(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading symbol	Name of each exchange on which registered
Common Stock, \$0.0001 per value per share	AAPL	The Nasdaq Stock Market LLC
0.000% Notes due 2029	---	The Nasdaq Stock Market LLC
0.00% Notes due 2030	---	The Nasdaq Stock Market LLC
1.00% Notes due 2030	---	The Nasdaq Stock Market LLC
2.00% Notes due 2037	---	The Nasdaq Stock Market LLC
1.17% Notes due 2038	---	The Nasdaq Stock Market LLC
3.00% Notes due 2039	---	The Nasdaq Stock Market LLC
0.00% Notes due 2041	---	The Nasdaq Stock Market LLC
3.00% Notes due 2042	---	The Nasdaq Stock Market LLC

Securities registered pursuant to Section 12(g) of the Act: None

Indicate by check mark if the Registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act:
Yes ☒ No ☐

Indicate by check mark if the Registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act:
Yes ☐ No ☒

- Auditors review transactions and internal controls of company.
- Auditors are independent from the corporation
- Auditors will provide an opinion that the F/S are free from material misstatements